

WHAT IS A STOCK?

LESSON 2



Learning Goals

01

What is a stock?

Why do companies sell stock? Why do people buy stock? Who benefits from stocks?

02

How can I buy or sell stock?

Initial Public Offering, Trading stocks, Stock market

What is a Stock?



- A **stock** or **share** represents ownership in a company
- A **shareholder** is an investor who owns shares of the company
- If a company is worth \$100 and it sells shares for \$10 each, someone who owns a share owns 1/10 of the company
 - If the company makes \$20, each shareholder gets \$2 (1/10th of the profit)

Video explaining stocks



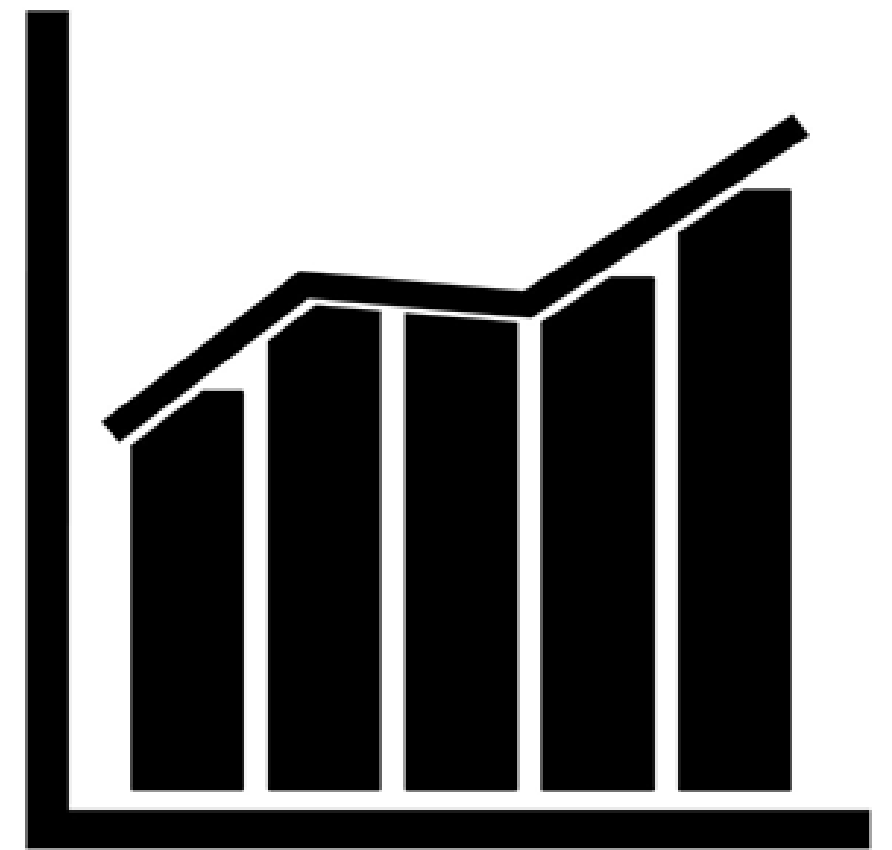
Why do companies sell stock?

- They need money to run the company, grow, expand...
 - Companies promise to pay shareholders part of their profits if shareholders give them money now to help grow their business
 - Companies also try to make the stock grow in value



Why do people buy stock?

- They want to invest and grow their money
- If they give a company money now to help grow the business, the company will be able to pay them even more in the future
- They want to invest in companies that they think will grow in value



Lemonade Stand Example



- Alex wants to start a lemonade stand, but he needs money to buy water, ice, lemons, sugar, and other ingredients
- Dylan and Cole both know that everyone on their street loves lemonade, so they give Alex money to buy supplies in exchange for a portion of “ownership” of his company
- Alex is selling “shares” of his company to Dylan and Cole and using the money to buy his ingredients

Lemonade Example



- Alex agrees to give Dylan and Cole each $\frac{1}{4}$ (25%) of his company if they each pay him \$2.50
- If $\frac{1}{4}$ of the company is worth \$2.50, then the whole company is worth $\$2.50 \times 4 = \10

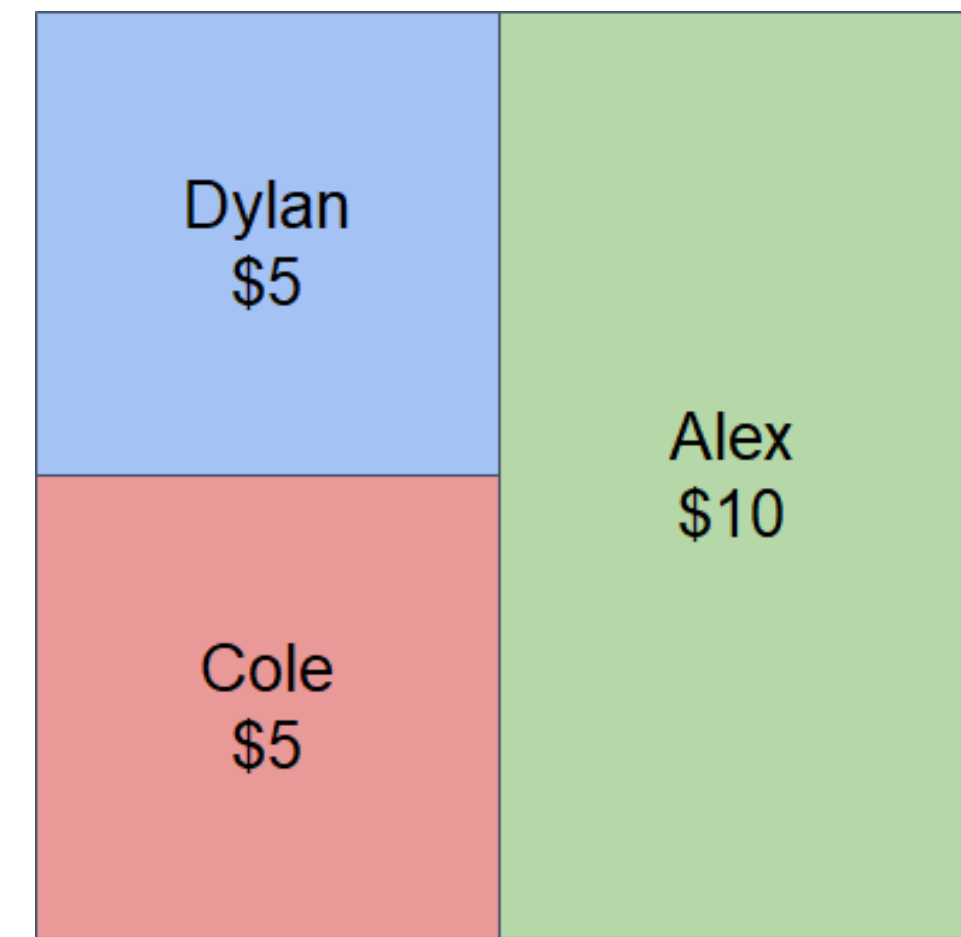


The box represents 100% of the company. Dylan and Cole now each own 25% and Alex owns the remaining 50%.

Lemonade Example



- Alex uses the money to buy ingredients and sell lemonade. He makes a lot of money, and now the company is worth \$20
- Since Dylan and Cole each own $\frac{1}{4}$ of the company, they now have $\$20 \div 4 = \5 each



The box represents 100% of the company. Dylan and Cole now each own 25% and Alex owns the remaining 50%.

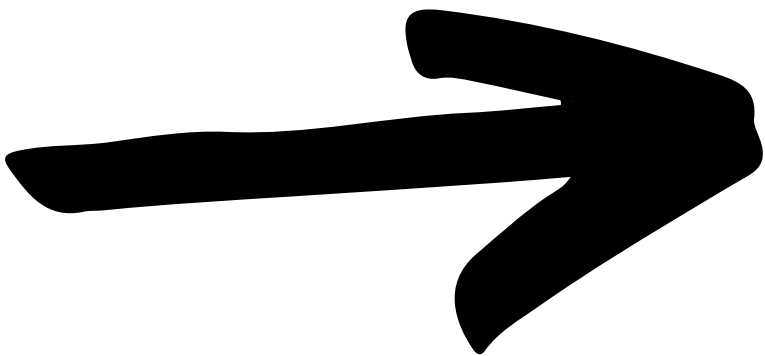
Lemonade Example



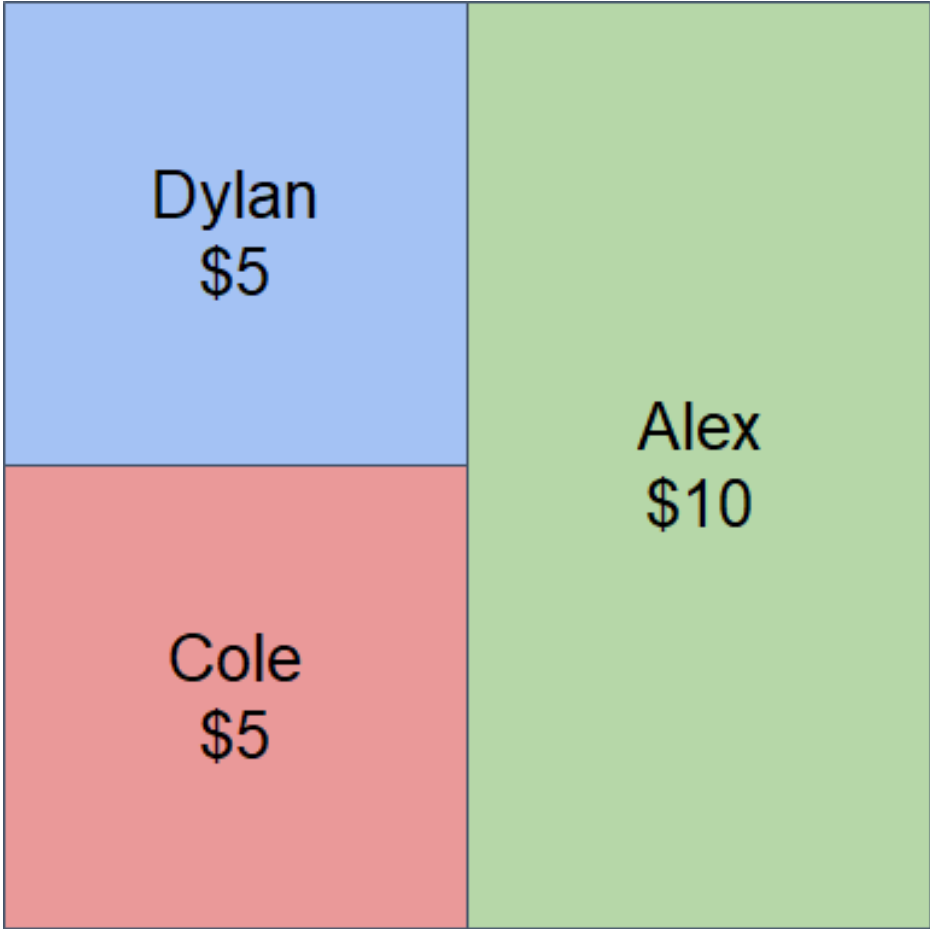
Before Growth



Total: \$10
Dylan: \$2.50
Cole: \$2.50
Alex: \$5



After Growth



Total: \$20
Dylan: \$5
Cole: \$5
Alex: \$10

Who made money?

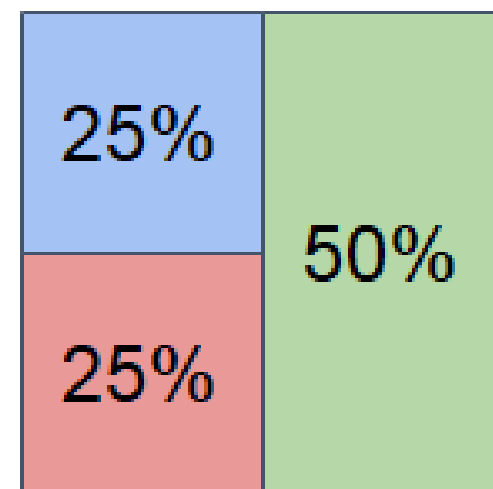
- The company grew from \$10 to \$20
- Alex owns 50% of the company
 - His share grew from \$5 to \$10
- Dylan owns 25% of the company
 - His share grew from \$2.50 to \$5
- Cole owns 25% of the company
 - His share grew from \$2.50 to \$5

Everyone made money!

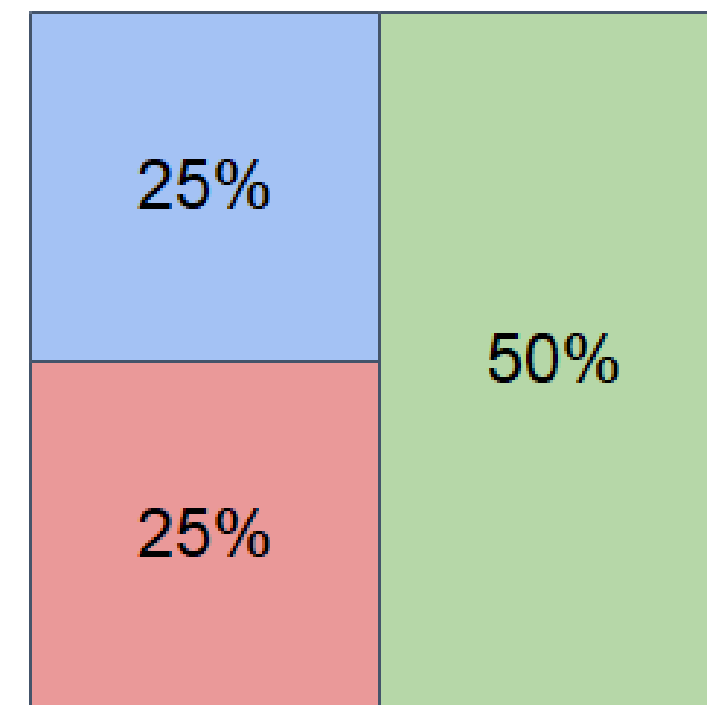


How can everyone benefit from stocks?

- People who own stock / shares own a piece of the company
- As the company grows, each stockholder still owns the same percent of the company
 - The square is still split the same way, so having a bigger square means that there is more for everyone

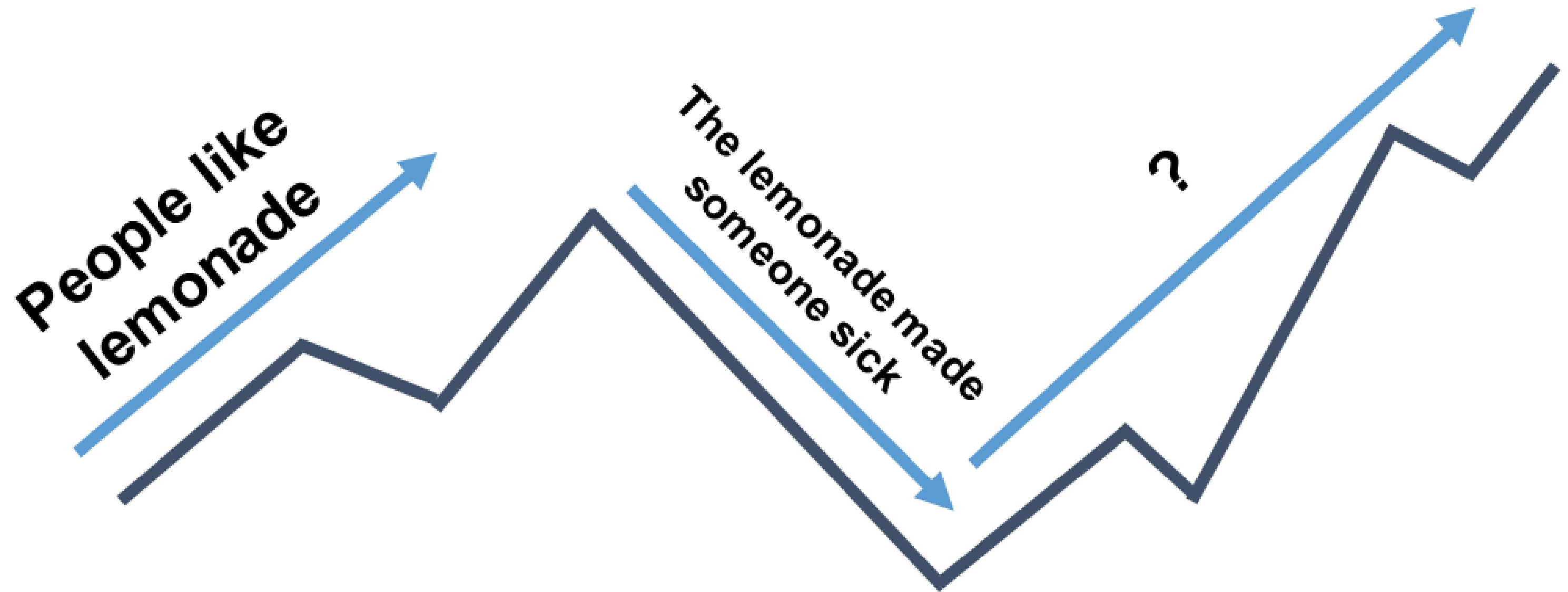


Total: \$10

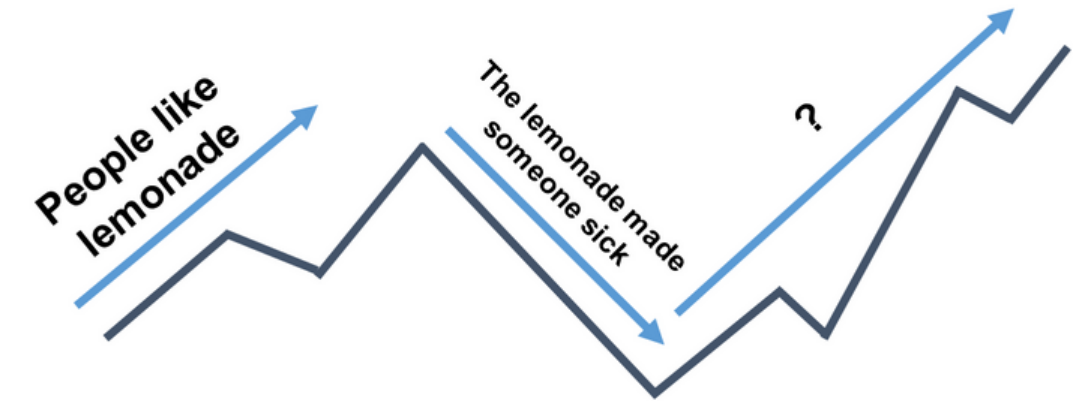


Total: \$20

What might make a stock price rise or fall?

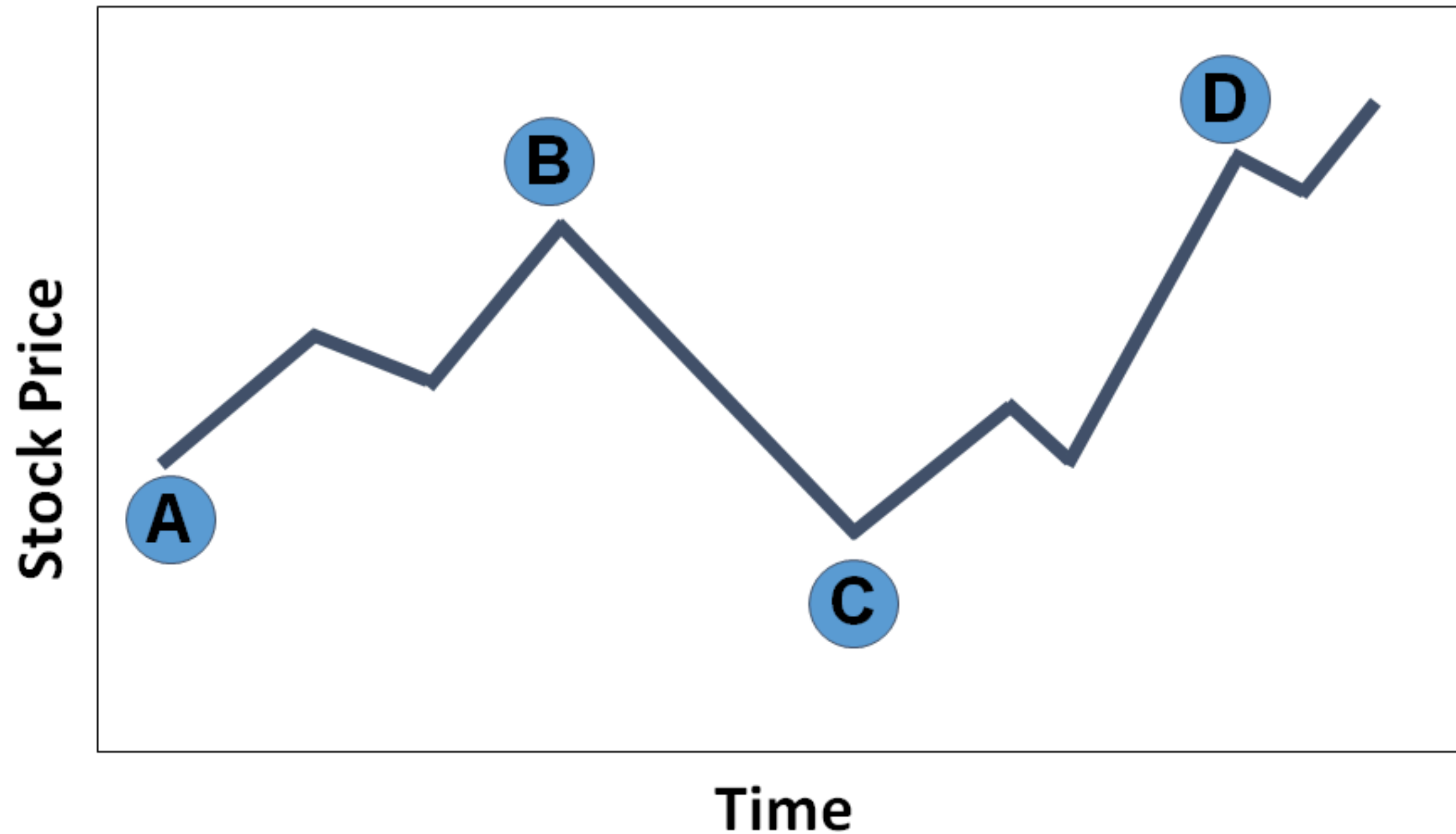


What might make a stock price rise or fall?

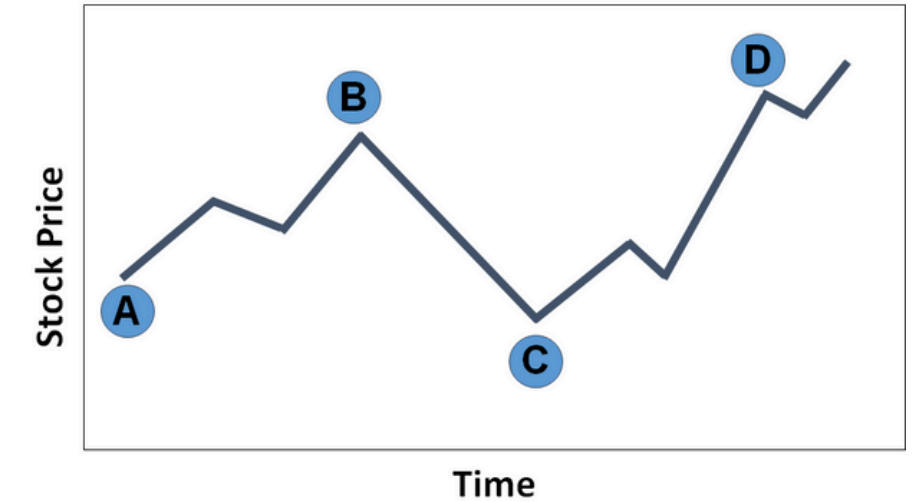


- What might make a company's stock price go up?
 - If people like the lemonade and they make a lot of money
 - If people think the company is going to keep growing
- What might make the company's stock price go down?
 - If someone drinks the lemonade and gets sick
 - If another lemonade stand opens and people start going to that one instead

Can you lose money from stocks?



Can you lose money from stocks?



- Even though it is possible for everyone to make money on stocks, it is also possible to lose money
- Here's an example of what a company's stock price might look like over time
- If you bought stock at B and sold at C, you would lose money since you're selling at a lower price than what you bought it at
- But, if you bought at A, B, or C and sold at D, you'd make money

Real World Example

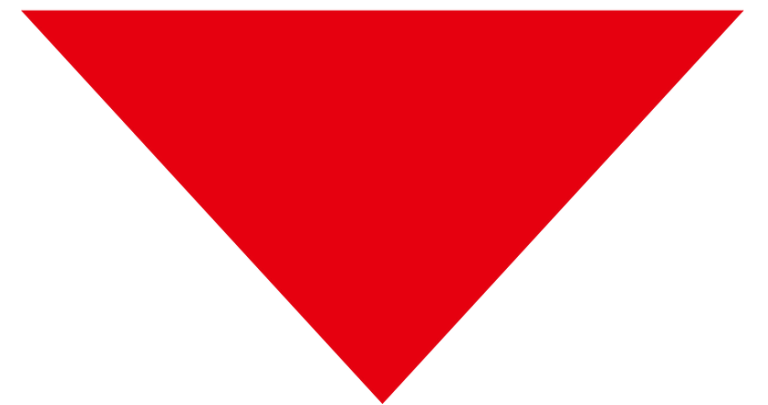
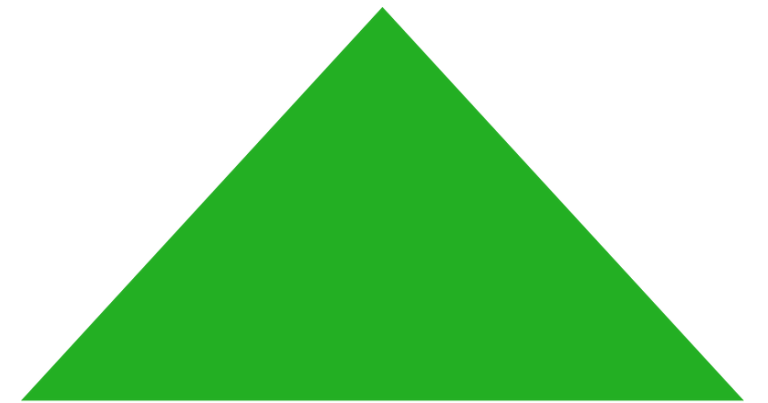
- What are some examples of times when you would expect a company's stock to go up or down?
 - Chipotle E.Coli outbreak
 - Zion busting Nike shoes during a high-level game



Group activity

DISCUSS: What makes stocks go up and down?

Students split up into groups of 3, and brainstorm an event that could change the price of a stock. Share with the class.



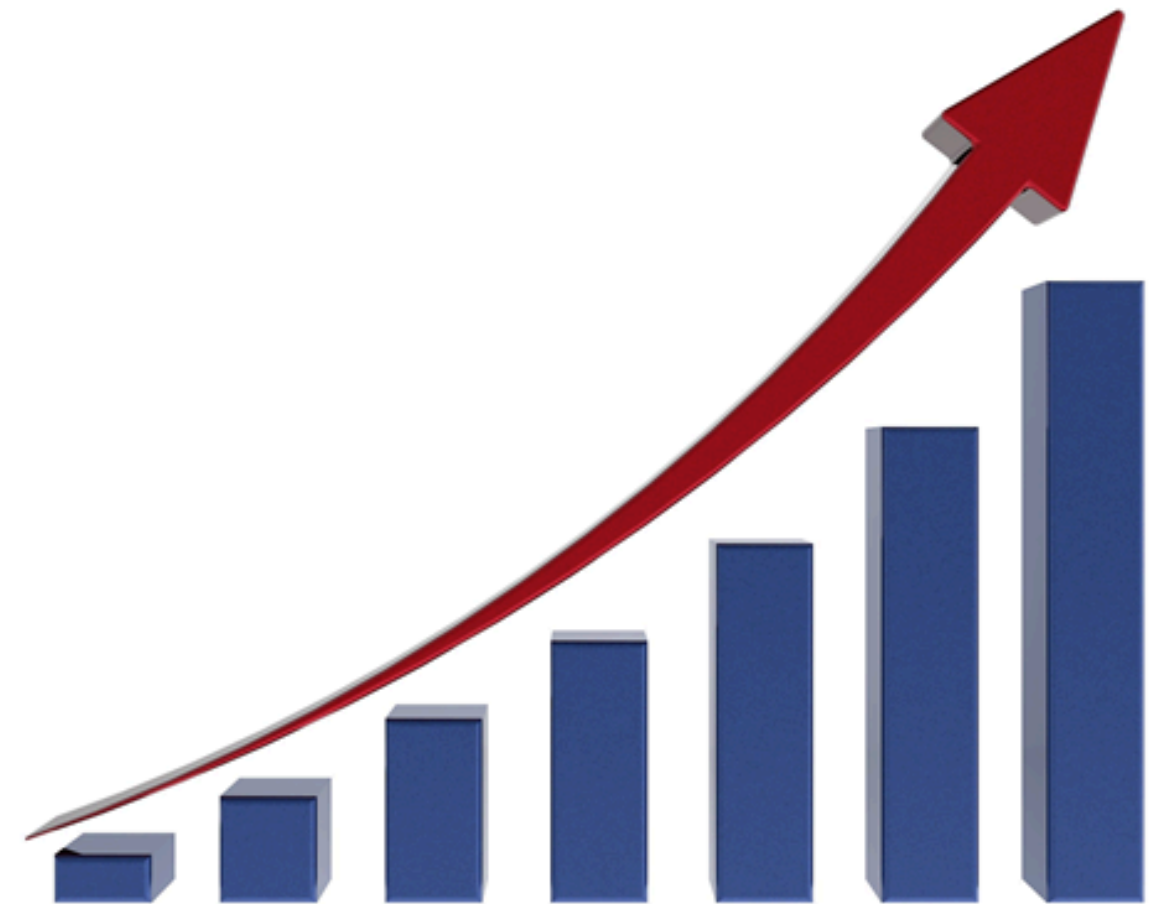
Why would someone sell a stock they own?

- They need **cash** right now (similar to why a company would sell its stock)
- They don't believe in the company anymore, so they think that the price will **go down**



Why would someone buy a stock?

- They think that the price will go up
- They want to invest their cash so that they can make more money, instead of just leaving it in the bank



Learning Check

- What is a stock?
- Why buy / sell stocks?
- As a company grows, who makes money?

Recap

- A **stock** represents ownership in a company
 - stock = share = ownership
- Why buy / sell stocks?
 - Company needs money to buy supplies / run the business
 - People want to invest and grow their money
- As a company grows, all shareholders can make money
- They own a percent of a bigger company

How can I buy or sell a stock?

Initial Public Offering (IPO)

- A company sells its stocks publicly to investors for the first time
- **Initial** - First time
- **Public offering** - sell to the public, not keeping stock for itself

Earlier, we talked about how a company sells its shares to raise money and expand - this is an IPO



How can I buy or sell a stock?

In addition to IPOs (companies selling their stocks), people who already own stocks can sell them to other people

Example: Earlier, Dylan bought stock in Alex's lemonade company during the company's IPO. This week, he can sell his shares to Cole. Now, Cole owns shares in the company



The Stock Market

- Together, people buying and selling stocks is what we call the “stock market”
- Similar to a market, where people are buying and selling different fruits, vegetables, foods...
- The “stock market” is people buying and selling stocks in different companies



Is the stock market a physical place?

- It used to be...
 - People used to gather in NYC on a street next to a huge wall where there was a market
 - This street was named Wall Street, and it became the main marketplace to trade stocks
- “The Wall Street Journal” is a famous business newspaper named after Wall Street



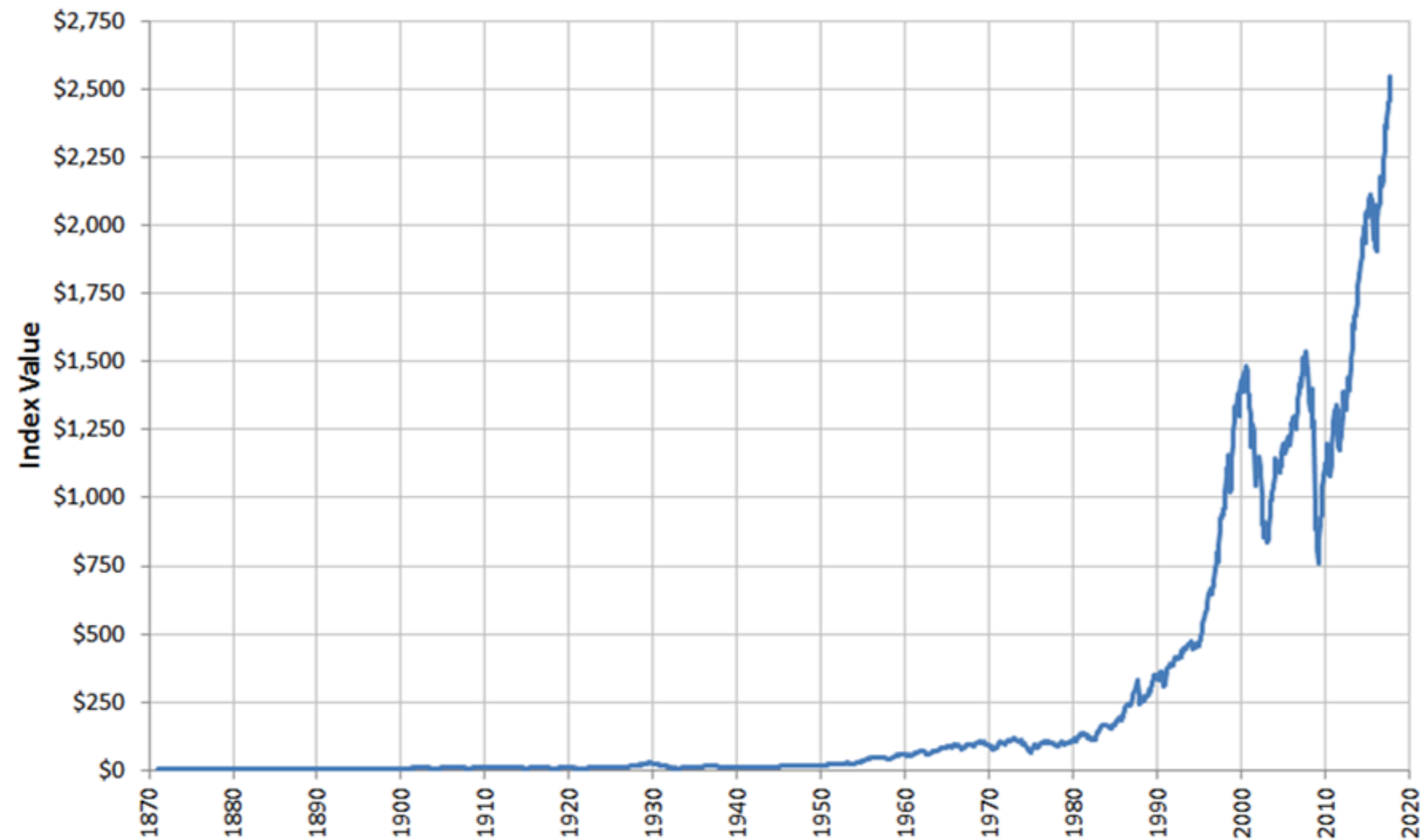
The stock market now...

- Now, the stock market is mostly electronic
- You don't have to be anywhere specific to buy/sell stocks. You can do it via online exchanges:
 - Nasdaq
 - New York Stock Exchange (NYSE)
- Sort of like how you don't have to be in a store to buy something on Amazon



Why should I invest in stocks?

S&P 500 Average Monthly Index Value
January 1871 - October 2017

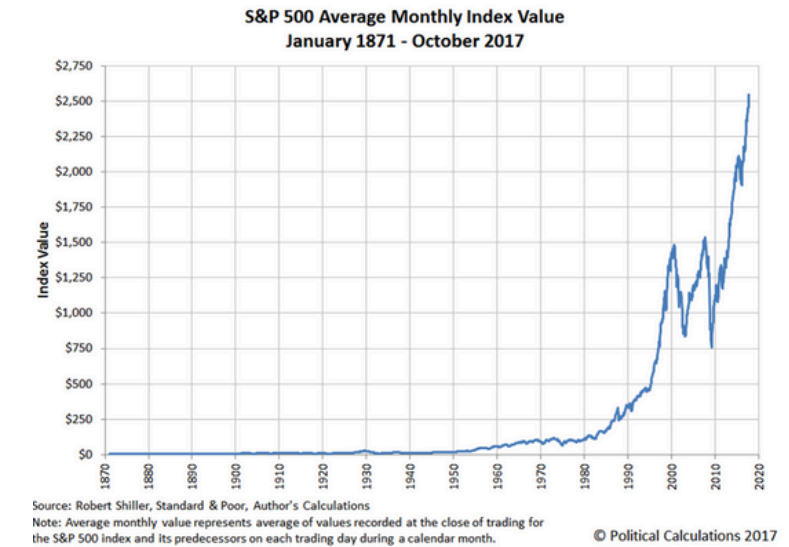


Source: Robert Shiller, Standard & Poor, Author's Calculations

Note: Average monthly value represents average of values recorded at the close of trading for the S&P 500 index and its predecessors on each trading day during a calendar month.

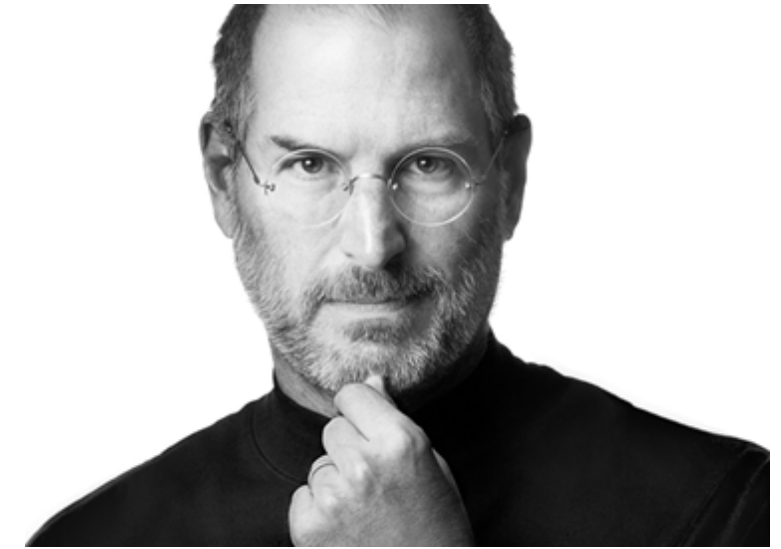
© Political Calculations 2017

Stock value over time



- Here's a graph of the S&P 500, which is a bundle of the stocks of the 500 biggest American companies, over time starting in 1870
- As you can see, while it is definitely possible for the market to go down occasionally, stocks overall tend to grow over time
- So, even if you lose some money temporarily, if you stay invested in the stock market, you will most likely see your money grow

Owning 50% of a company's stock



- The main owner of the company usually holds at least 50% of the stock and sells the rest to investors. Why?
- Lemonade example
 - Alex started a lemonade stand and sold too many shares to Dylan
 - Now, Alex owns 40% of the company and Dylan owns 60%
 - Dylan is now the main owner, so he decides what the company does. If he disagrees with Alex about something, he can actually fire Alex from his own company!

Learning Check

- What is an IPO?
- What is the stock market?
- Why might a founder of a company avoid selling more than 50% of shares of their company?

Recap

- **IPO** = Initial Public Offering = company starts selling shares
- Stock trading
 - People buy stocks that they think will go up to invest their money
 - People sell stocks that they think will go down / if they want cash
- Stock market
 - Mostly online / electronic
 - All shares of a given company are the same price
- Retaining ownership
- Whoever has the majority of shares has control of the company

So what?

Why do stocks matter?

- They help people invest and **grow their money!**
- They give companies money now to grow their business.
- As a company grows, all shareholders (or people involved) can make money.

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